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Research Briefing | Germany

Lifting the fiscal handbrake is easier said than done

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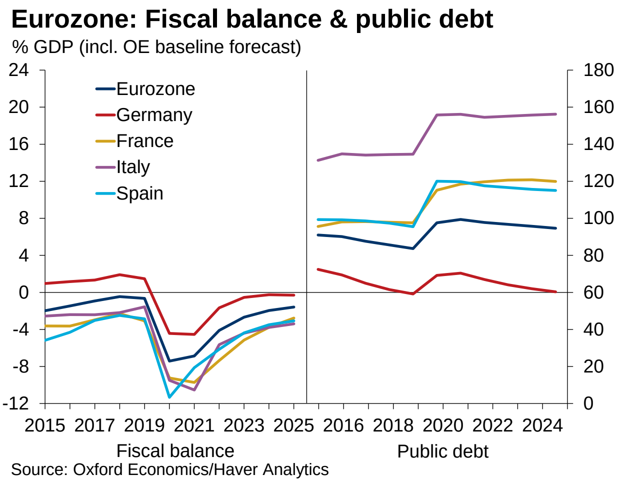
- **Recent political shifts have increased the odds of Germany loosening its tight national fiscal rules after the September elections, which could be good news given the drag from secular stagnation and the investment needed for the green and digital transitions. But we see significant obstacles that could delay or even weaken the economic impact, even if such a shift was agreed.**
- **A wholesale revision of the constitutional public debt brake as favoured by the Green party still looks highly improbable, as we think the fiscally hawkish CDU or FDP will either be part of the government or retain a blocking minority in the legislative. Even the SPD isn't advocating for an overhaul of the debt brake.**
- **Several proposals to tweak or circumvent Germany's fiscal rules have been developed, which could generate sizeable fiscal space of up to 1%-2% of GDP annually. But these options are more likely to be explored fully under a left-leaning government that still appears unlikely, and would also face legal and technical hurdles, including a potential clash with current EU fiscal rules.**
- **Should a proposal succeed and the resulting fiscal space be primarily used for investment, we think supply bottlenecks would slow deployment. Construction capacity is just as strained as before the pandemic, while weak demographics may stimy the labour reallocation that a speedy green transition requires. Stronger price and wage signals would be needed to accelerate the shift.**
- **We are likely to revise up modestly our growth forecasts post-election based on a somewhat looser fiscal stance. But as that would only suffice to slow the expected downtrend of the debt-to-GDP ratio, we think the implications for markets are minor. Still, this could ease Bund scarcity and alleviate the ECB's worries over its asset purchases running into the issuer limit.**

Figure 1: Germany's tight fiscal stance stands out among its European peers



Germany's large structural surpluses ahead of the pandemic and a less severe recession mean that the rise in public debt has been comparably small. Hence, a gradual return to only modest deficits, as prescribed under the constitutional debt brake, set public debt on a course to hit 60% by 2025.

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Odds of a fiscal rethink were never this good

We have argued for a while that Germany would face a fiscal reckoning eventually. Tight fiscal rules (i.e., the national debt brake) are increasingly at odds with the economic reality of a country reeling from a deep recession, in need of massive funds to jump-start its green and digital transitions, and facing growing demographic headwinds.

We had thought this made a modest easing of Germany's structural fiscal stance after the September elections more likely, and recent political shifts have increased the odds of this scenario. For one, a sharp loss in support for the CDU and Greens, and gains by the SPD have made a coalition of the SPD, Greens, and Left party a feasible option (**Figure 2**). Although we still think that this coalition is unlikely due to the Left Party's foreign policy views, these parties are fairly well aligned on fiscal policy. A reform of the debt brake or at least use of all the available legal leeway to spend are much more likely than under any other coalition (**Figure 3**). The shift in polls may also have put some pressure on the liberal FDP. Its leader Christian Lindner has been one of the loudest advocates of sticking to the debt brake, but he may now cautiously signal some flexibility to open his party to a coalition with the SPD and Greens. The election race remains wide-open, however.

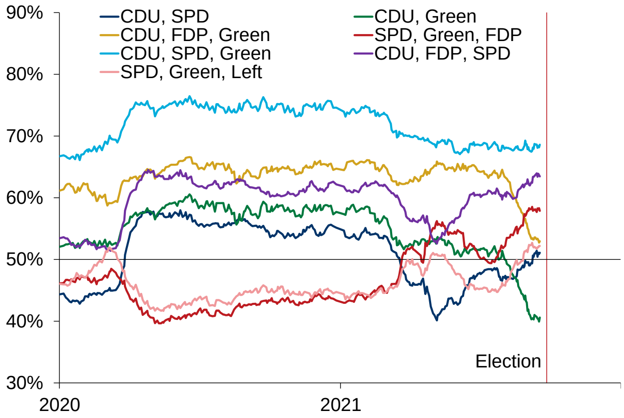
Whatever the outcome, we still think any shift in fiscal policy would be gradual and moderate, restricting its macroeconomic and financial markets impact. First, wholesale reform of the debt brake, which limits the federal structural deficit to 0.35% of GDP, looks highly unlikely. The CDU and the FDP remain strongly opposed to constitutional changes. The two-thirds majority in the Bundestag and Bundesrat that would be required to ease the deficit limit or to exclude net or green investment from the deficit remains elusive. Estimates vary widely, but green investment needs may amount to 1%-2% of GDP p.a. Yet, even the SPD is not advocating an overhaul of the debt brake, although once in office we think they would at least consider circumventing it.

Second, the potential fiscal easing under the most likely options to tweak or circumvent the debt brake will probably be limited to under 0.5% of GDP, unless the EU fiscal rules are eased measurably. Changes to EU rules have become more likely, too, but they will take time to become effective. What's more, off-loading some green or infrastructure investment onto off-budget vehicles to circumvent the debt brake may be more an often cited option, but there are many questions about the legal and operational difficulties.

Figure 2: Left leaning coalition of SPD, Greens, and Left party is now an option, but still unlikely

German Federal election: Coalition options

Share of vote excl. parties <5%, average of last five polls



Source: Oxford Economics/Haver Analytics

Figure 3: Views of the likely coalition partners on fiscal policy differ a lot – a fudge is needed

Parties' stance on fiscal policy

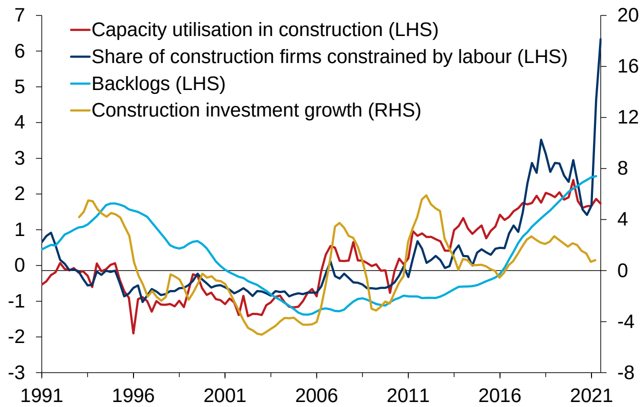
	Left	Green	SPD	CDU	FDP
Outright reform or abolish debt brake	Green	Green	Yellow	Red	Red
Return to <60% public debt swiftly	Yellow	Yellow	Yellow	Green	Green
Off-budget vehicles to circumvent debt brake	Yellow	Green	Yellow	Green	Yellow
Materially increase public investment	Green	Green	Yellow	Yellow	Yellow
Cut taxes for low- & middle income households	Green	Green	Green	Green	Green
...offset by higher taxes for high incomes	Green	Green	Green	Yellow	Yellow
Cut corporate taxes	Yellow	Yellow	Yellow	Green	Green
Introduce wealth tax	Green	Green	Green	Yellow	Yellow

Source: Oxford Economics (Green = support; yellow = neutral/unclear; red = oppose)

Figure 4: Tight supply limits the lift to construction investment from sky-high demand

Germany: Supply shortage in construction

Normalized values (LHS); real, % y/y, 8-quarter average (RHS)



Source: Oxford Economics/Haver Analytics

Lifting the fiscal handbrake is easier said than done

Third, most advocates of looser fiscal rules primarily want to use the funds to increase public and green investment. But we think Germany still faces significant capacity hurdles that would slow the lift to economic activity. For instance, the Green party is proposing €50bn p.a. of additional investment over the next ten years. If half of that goes to construction it would equate to a lift to annual construction investment of 6%. But the construction sector appears to be facing even more severe labour shortages than before the pandemic as backlogs have continued to swell (**Figure 4**). Shortages in other sectors are also high by historic norms, limiting scope for labour inflows to construction.

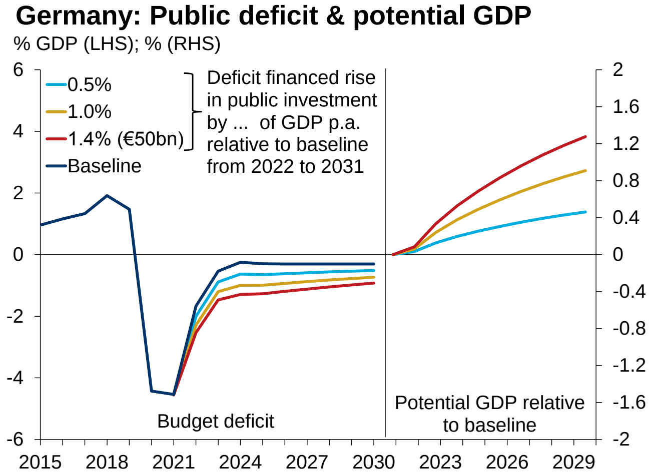
Limited impact on the economy and markets

In our baseline, Germany's fiscal reserves mean that it should be able to gradually tighten its fiscal stance and return to a modest structural deficit in line with the debt brake rules by 2024. It looks increasingly likely that we will revise our baseline post-election, but by how much is far from clear. We've run three scenarios through our Global Economic Model, based on a debt-financed increase in public investment of 0.5%-1.4% of 2021 GDP p.a. for the next decade (**Figures 5** and **6**), with the upper threshold mirroring the Green party's proposal.

While the lift to GDP and faster progress on the green and digital transformations would be welcome, it's hard to see this as plausible. Rather, we think the option with the least easing is more likely. An intermittent scenario with a slow start to the investment spree due to capacity constraints could be a feasible alternative, but that would also curtail the near-term impact. The FDP might push for a focus on private investment, which would have similar growth effects and may face fewer capacity bottlenecks. Meanwhile, a noteworthy side-effect of a debt-financed investment binge in Germany would be a reduced shortage of safe assets in Europe. This may help the ECB run its asset purchases under the Asset Purchase Programme for longer without worrying too much about running into the issuer limit (**Figure 7**). But the effect looks limited in the most plausible scenario, so pressure on German Bund yields looks here to stay.

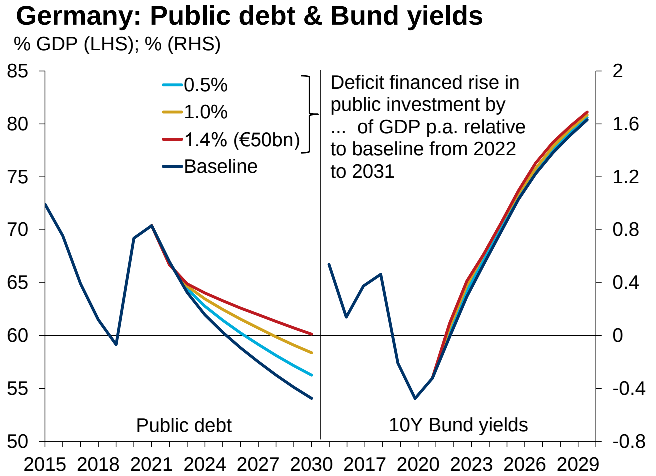
In all, the stars may finally be aligning for a fiscal rethink in Germany, one of Europe's prime hawks. But we see significant hurdles to the more transformative scenarios, although even these probably wouldn't exhaust Germany's fiscal space. So, the key benefit of greater willingness to exploit fiscal flexibility post-election may be a fairly gradual fiscal tightening, which should safeguard the recovery.

Figure 5: A debt-financed increase in public investment would lift potential output



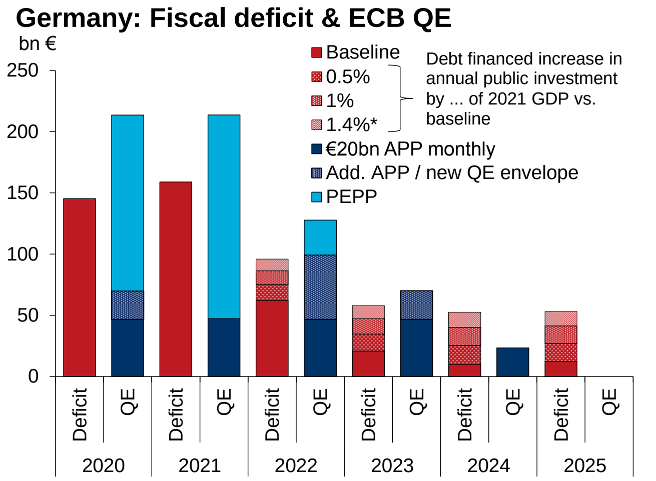
Source: Oxford Economics/Haver Analytics

Figure 6: Plausible shifts in fiscal stance still keep debt trending down and yields in check



Source: Oxford Economics/Haver Analytics

Figure 7: The ECB will hope for fiscal activism in Germany to ease Bund scarcity



Source: Oxford Economics/Haver Analytics (*i.e. Green's €50bn a year plan)